EXECUTIVE SUMMARY

A. Introduction:

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit was conducted on the accounts and operations of the LGU – Enrile, Cagayan for calendar year 2017. The audit objectives were to ascertain the propriety of the disbursements, reliability of the financial reports, adequacy of accounting records, compliance with laws, rules and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Financial Highlights:

The financial condition and results of operations of LGU – Enrile, Cagayan for CY 2017 with comparative figures for CY 2016 are as follows:

Accounts	2017	2016	Increase/(Decrease)
Assets	₱214,447,507.76	₱187,328,242.14	₱27,119,265.62
Liabilities	86,409,173.11	78,473,731.40	7,935,441.71
Government Equity	128,038,334.65	108,854,510.74	19,183,823.91
Income	132,047,410.17	113,889,008.37	18,158,401.80
Expense	117,331,872.48	90,241,119.03	26,717,983.36
Appropriation	127,510,438.00	111,022,964.00	16,487,474.00
Obligation	116,190,735.13	89,612,937.14	26,577,797.99

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2017 with comparative figures for CY 2016 are presented in the following table:

Funds Received from Other Agencies	2017	2016	Increase/(Decrease)
NGAs	21,551,000.00	P 7,252,920.00	14,298,080.00
LGUs	1,022,000.00	9,860,000.00	(8,838,000.00)
NGOs/POs	0.00	0.00	0.00
Others	0.00	200,000.00	(200,000.00)
Total	**22,573,000.00**	**P 17,312,920.00**	**5,260,080.00**

Funds Transferred to Other Agencies	2017	2016	Increase/(Decrease)
NGAs	1,710,998.00	0.00	1,710,998.00
LGUs	0.00	0.00	0.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**1,710,998.00**	**0.00**	**1,710,998.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU – Enrile, Cagayan as of December 31, 2017 due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraph and as discussed in detail in part II of the Report

D. Summary of Significant Observations and Recommendations:

The following is the summary of significant observations and recommendations in the audit of the accounts and operations of the Municipality of Enrile for the Calendar Year 2017 discussed with the concerned Municipal Officials in an exit conference held on April 4, 2018 and the comments were incorporated in the report where appropriate.

1. The correctness, accuracy and existence of the Property, Plant and Equipment with a book value of ₱155,297,928.45 as at December 31, 2017 could not be ascertained due to the non-conduct of physical inventory taking and the inadequacy of property records which is contrary to Section 124 of Volume I of the Manual on New Government Accounting System for Local Government Units.

We recommended to the Local Chief Executive to create or constitute an Inventory Committee to conduct physical inventory of all the PPE of the LGU and thereafter, prepare an inventory report, a copy of which be submitted to the Office of the Auditor. The inventory report shall be reconciled with the PPE records or ledgers maintained at the Accounting Office and any discrepancy/ies be adjusted.

2. The reciprocal accounts, Due from Other Funds and Due to Other Funds accounts under General Fund and Special Education Fund, do not reconcile due to lapses in recording transactions in the books of accounts, thus the reported balances of these accounts were inaccurate contrary to Section 123 of Presidential Decree No. 1445 and Sections 28 and 152, Volume III of the NGAS for Local Government Units.

We recommended that the Municipal Accountant review the Journal Entry Voucher to ensure that all transactions are properly and accurately recorded in the books of accounts, analyze the reciprocal accounts and make necessary adjustments to reflect the correct balances in order to present the actual financial condition of the Municipal Government as of December 31, 2017.

3. Various disbursements totaling ₱11,934,587.75 were not supported by complete documentary requirements in contravention to certain provisions of COA Circular No. 2012-001 and Section 4 (6) of Presidential Decree No. 1445, hence, the propriety and validity of the transactions could not be ascertained.

We recommended Management to ensure that all payments to be made by the LGU be supported with complete documentary requirements prescribed in COA Circular No. 2012-001 and Section 4 (6) of Presidential Decree No. 1445.

4. Annual dues and membership fees totaling ₱18,100.00 were paid to various leagues and associations considered as private organizations since these were not identified in Title VI, Book III of Republic Act (RA) No. 7160, contrary to National Budget Circular No. 563, thus leading to improper disbursement of government funds.

We recommended the Municipal Accountant and Municipal Budget Officer to strictly observe the provisions of RA No. 7160 and NBC No. 563 in the appropriation and payment of membership fees and annual dues to various leagues/organizations, and ensure that payments of such kind to private organization will not be charged against the Municipality's funds.

5. Procurement of fuel, oil and lubricants totaling ₱3,516,303.37 did not undergo competitive public bidding contrary to Section 10 of the Revised Implementing Rules and Regulations of Republic Act No. 9184. Thus, transparency and competitiveness in the procurement process were sacrificed.

We recommended Management to ensure strict compliance to Section 10 of the Revised Implementing Rules and Regulations of Republic Act No. 9184.

6. The Municipality was unable to establish Gender and Development (GAD) database, thereby, there is no basis for the gender planning, programming and policy formulation and some PPAs included in the GPB do not clearly address GAD issues and concerns contrary to PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01 as amended in PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2016-01.

We recommended the GAD Focal Point System to (a) coordinate and assist the Municipal Planning and Development Office in setting-up and maintaining GAD database; (b) identify the Municipal Government's PPAs to be included in the GPB which will gives priority and promote GAD issues and concerns especially the rights of the women; and (c) adhere strictly to PCW-DILG-DBM-NEDA Joint Memorandum Circular Nos. 2013-01 and 2016-01 in the implementation of GAD activities to achieve objectives.

7. Eight out of the twelve projects funded by the 20% Development Fund totaling ₱15,821,832.00 were not fully implemented as of year-end, contrary to DILG-DBM Joint Memorandum Circular No. 2017-1 and Section 287 of RA No. 7160, thus, depriving funds for other developmental programs and projects of the Municipality, and non-attainment of the purpose for which these projects had been prioritized during the year.

We recommended that the Local Chief Executive ensure all projects funded out of the 20% Development Fund be implemented during the year, to which these projects were proposed for implementation to ensure that the full intention of development would be attained at the soonest possible time.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	**65,396,991.37**	0.00	400,625.10	64,996,366.27	0.61%
Current Year		0.00	0.00	0.00	0.00%
Total	**65,396,991.37**	**0.00**	**400,625.10**	64,996,366.27	**0.61%**
Disallowances:					
Prior Years	**7,650,188.78**	0.00	5,883.15	7,584,861.03	0.08%
Current Year		0.00	0.00	0.00	0.00%
Total	**7,650,188.78**	**0.00**	**5,883.15**	**7,584,861.03**	**0.08%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

F. Status of Implementation of Prior Years' Audit Recommendations:

Of the 24 audit recommendations embodied in the 2016 Annual Audit Report, five were fully implemented and 19 were partially implemented.